

Material Facts in Michigan

A material fact is information that may impact a property's value or desirability.

Material facts may include the following:

Environmental and Health Hazards

Environmental and health hazards must be disclosed to mitigate any potential risk to the buyer. One example is the presence of lead-based paint, which federal law requires to be disclosed. Other examples include the presence of asbestos, mold, radon, or other toxins, and underground tanks that may pose environmental risk.

Latent Defects

Hidden structural issues that might not show up in the course of a routine inspection are called latent defects. Latent defects can have an impact on the property's value, so disclosing them (when known) is crucial. Examples of latent defects include foundation cracks behind a façade, plumbing issues, outdated or faulty electrical wiring, and water leaks inside walls.

What the Law Says

Michigan Occupational Code provides that a licensee may not directly or indirectly misrepresent a material fact. Even if the buyer or seller is unhappy that the information has been disclosed, it's the licensee's duty to make the material fact known. Although caveat emptor (buyer beware) still applies, concealing material facts is a misrepresentation, and can get the licensee into serious trouble.